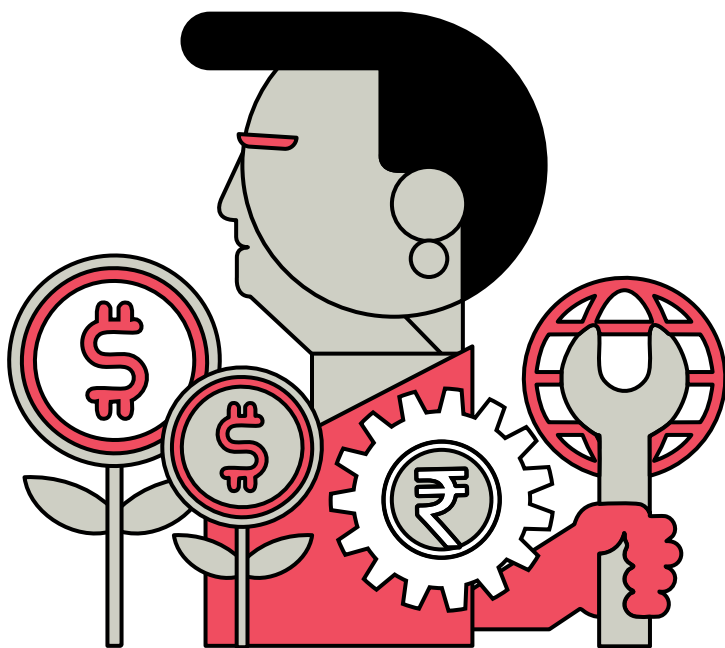




THE BACKDROP

1

THE INDIAN ECONOMY IS SEEN TO GROW AT LESS THAN 7% FOR THE SECOND STRAIGHT YEAR IN FY26

2

THERE ARE CONCERNS OVER TARIFF WARS AS US PRESIDENT DONALD TRUMP FOCUSSES ON AMERICA-FIRST POLICIES

3

CONSUMPTION DEMAND HAS MODERATED AS THE MIDDLE CLASS BATTLES WITH LOWER WAGE HIKEs AND PERSISTENT INFLATION

4

MAKE IN INDIA MEASURES YET TO FULLY SET IN, MANUFACTURING GROWTH HAS LAGGED

5

THE FOCUS IS ON DEREGULATION, REFORMS TO WHET THE APPETITE OF PRIVATE INVESTORS

income tax cuts amounting to ₹1 lakh crore) and capex (raising Budget outlays by ₹1 lakh crore), while lowering the fiscal deficit (as promised, to 4.4% of GDP for FY26)," said a report by HSBC Global Research.

CONSUMPTION BOOST

In contrast to the past, consumption is the biggest takeaway from this Budget with the government choosing to give direct relief to taxpayers through income tax cuts rather than just focussing on indirect means such as a higher capital expenditure (capex) outlay. It announced that those earning up to ₹12 lakh will not have to pay tax under the new tax regime, up from the earlier rebate limit of ₹7 lakh.

This has meant that while fiscal consolidation has remained a key agenda, its pace is softer and tax collection targets have moderated marginally.

As per finance ministry estimates, 10 million additional taxpayers will no longer pay tax because of the cut. Finance and Revenue Secretary Tuhin Kanta Pandey expressed hope that all the money that these individuals gain from the tax rebate will come back to the economy in the form of consumption, savings, or investment.

India Ratings and Research expects consumption demand to grow at 6.9% in FY26. Private final consumption expenditure is estimated to grow by 7.3% this fiscal. "The expected income tax relief under the new tax regime would help in boosting the consumption demand of the economy. However, it will take some time before it starts reflecting on consumption growth," it noted.

Devendra Kumar Pant, Chief Economist at India Ratings & Research, notes that in the absence of substantial wage hikes by the private sector, the government has